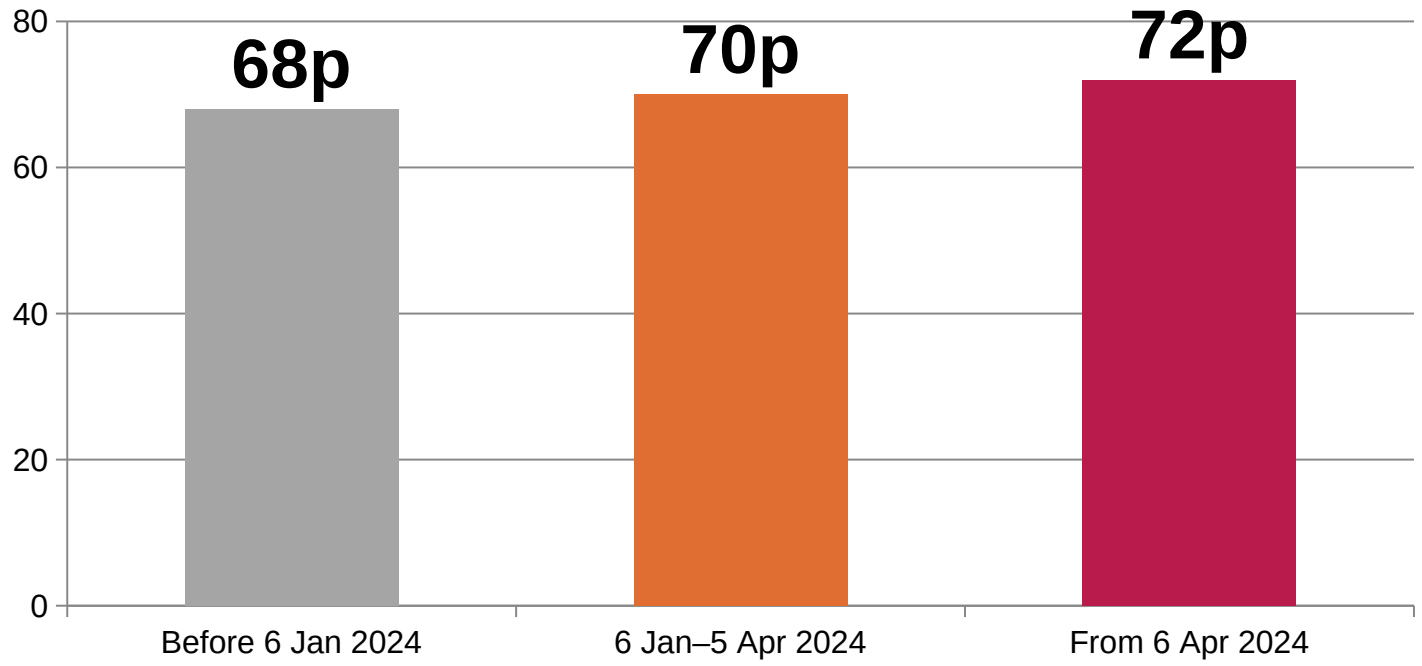
Tax incentives: a higher return from additional work

Marginal take-home pay per additional £1 earned



NICs main rate: 12% → 10% → 8%

COMBINED NICs CUTS

+5.9%

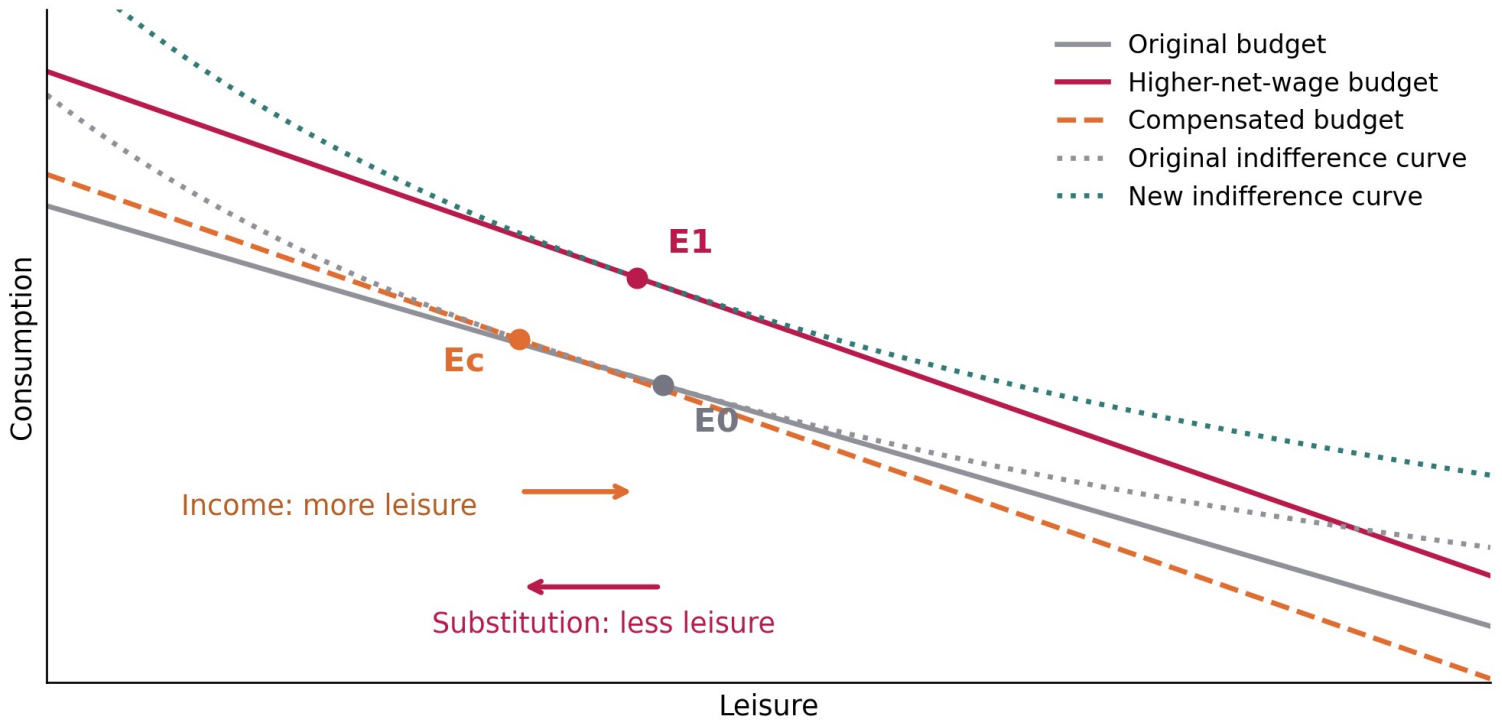
Higher marginal take-home pay

(72 − 68) ÷ 68 × 100

Source: Author's calculations using HMRC (2024) rates. Assumes 20% income tax, main NICs band and no other deductions.

Labour supply: substitution and income effects

How a higher net wage changes work–leisure choices



01 / SUBSTITUTION

Higher reward from extra work

Less leisure → more work

02 / INCOME

More leisure

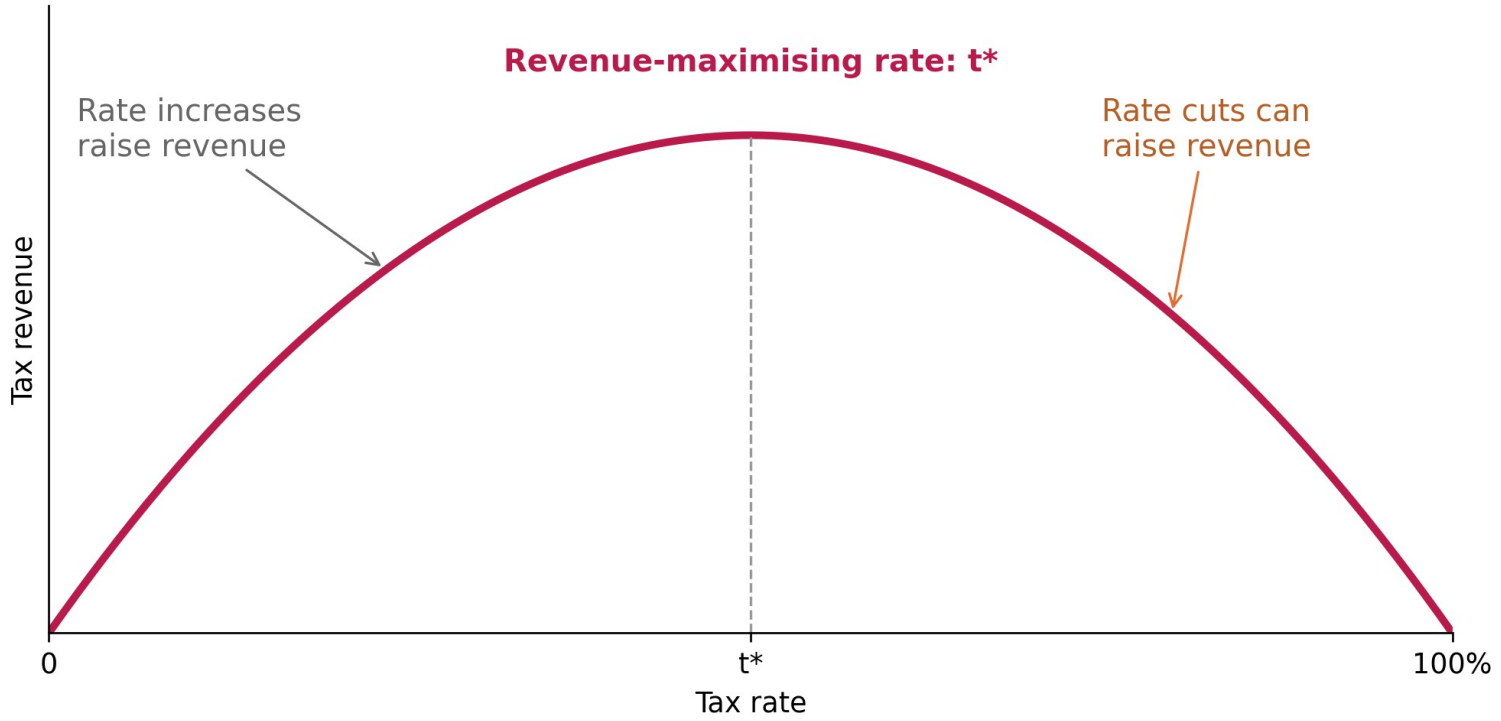
Higher income → less work

Participation in employment ≠ hours worked by existing employees

Source: Author's theoretical illustration based on Meghir and Phillips (2010).

Laffer curve: behavioural gains and fiscal effects

Tax revenue = tax rate × taxable base



OBR / MARCH 2024

98,000

full-time equivalents

Additional labour supply

≈20%

of static fiscal cost recovered

Stronger work incentives, supported by sustainable financing

Sources: Hemming and Kay (1980); OBR (2024), paras. 3.9–3.10. Diagram: theoretical illustration; OBR figures: forecasts.